Roll No. .....

BBA–302

B. B. A. (THIRD SEMESTER)

MID SEMESTER EXAMINATION, Oct., 2022

MANAGEMENT ACCOUNTING

Time : 1½ Hours

Maximum Marks : 50

Note : (i) Answer all the questions by choosing any ***one*** of the sub-questions.

(ii) Each sub-question carries 10 marks.

1. (a) Discuss the nature and scope of Management Accounting giving suitable illustrations in support of your answer. (CO1, CO2)

OR

(b) Explain the comparison of management accounting with cost accounting and financial accounting. (CO1, CO2)

2. (a) The sales turnover and profit during two years were as follows : (CO3, CO5)

Year	Sales (₹)	Profit (₹)
2020	1,40,000	15,000
2021	1,60,000	20,000

You are required to calculate :

(i) P/V ratio

P. T. O.

(ii) Sales required to earn a profit of ₹ 40,000.

(iii) Profit when sales are ₹ 1,20,000.

OR

(b) Define the concept of cost and importance of cost accounting, cost control and cost reduction. (CO2)

3. (a) What is break-even analysis and state its limitations. (CO2, CO3)

OR

(b) "The managerial objectives of accounting are to provide data to help the management in planning, decision-making, coordinating and controlling, operations." Discuss. (CO1, CO2)

4. (a) XYZ Limited has been offered an order from A Ltd. for 10000 units of output @ ₹ 100 each which has a variable cost of ₹ 60 and will involve an outlay of ₹ 60,000 to set-up jigs and dies. At the same time, there is another offer of B Ltd., for 8000 units of output at ₹ 110 each. Variable costs are estimated at ₹ 68 each and involve an outlay of ₹ 50,000 to set-up jigs and dies.

Which offer should the company accept ? (CO3, CO5)

OR

(b) The sale of a product amounts to 400 units per month at ₹ 20 per unit. Fixed overhead cost is ₹ 800 per month and variable cost is ₹ 12 per unit. There is a proposal to reduce prices by 20 per cent.

Calculate present and future P/V ratio. How many units must he sold to earn the present total profits ? (CO3, CO5)

5. (a) The sales of a company are @ ₹ 200 per unit ₹ 20,00,000
Variable Cost = ₹ 12,00,000
Fixed cost = ₹ 6,00,000
The capacity of the factory = 15000 units.
Determine the BEP. How much profit is the company making ?

(CO3, CO5)

OR

(b) Pepsi Company produces a single article. Following cost data is given about its product : (CO3, CO5)

Selling price per unit ₹ 40, Marginal cost per unit ₹ 24, Fixed cost per annum ₹ 16,000

Calculate :

(i) P/V ratio

(ii) Break-even sales.